

TABLE 1.4 Liabilities and Debts of Family, Inc.

Debt Type	% with Debt	Median Amount	Change from '01
Home Mortgage	47.9	\$95,000	+27.3%
Other home secured debt	4.0	\$87,000	+104.2%
Line of Credit	1.6	\$3,000	-28.6%
Installment Loans	46.0	\$11,700	+13.6%
Credit Card	46.2	\$2,200	+10.0%
Other	7.6	\$4,000	+25%

Source: U.S. Federal Reserve Consumer Finances Survey 2004, Table 11 04; IFID Centre calculations.

Credit card debt, a very widely used source of credit among the U.S. population, is totaled at \$2,200 on Family, Inc.’s balance sheet. Note that 46% of the population has this credit card debt. This number only includes families who are not paying off the balance in full at the end of the month. Approximately 8% have other forms of debt with a median amount owed of \$4,000. Note that this “other” category is a catch-all that can include wonderful strategies like margin debt (or borrowed money used to purchase investment assets—a concept I discuss in detail in Chapter 4). This category can also include items such as loans against a pension in a current job or against a cash value life insurance policy, or perhaps even an informal loan from the neighborhood loan shark. It seems like Americans have a robust and diversified portfolio of debts. And, while some debts make perfect sense, other types of debt like credit cards and installment loans might raise an alarm bell or two, if the funds are being used to acquire depreciating assets that lose value over time.

Table 1.5 provides the percentage of each age group that holds any of three types of debts: credit cards, lines of credit, or installment loans. As one might expect, reliance on the three types of debt tends to be higher in the early stages of life when net worth is the lowest but major expenditures and purchases are made.

Similarly, Table 1.6 examines the debt data from a more formal corporate accounting perspective. It compares the amount that a family owes relative to the value of their assets. In some sense, the lower the ratio of debt to assets, the more healthy the family, although there